

Non-Operating Section

Non-Operating Section expenses are expenses that must be paid but are not actually necessary to run the business. The two biggest examples are finance costs (e.g., interest expense, bank charges, etc.) and tax expenses (e.g., the amount of tax due in the current reporting period).

Sometimes a business may have revenues and expenses outside the primary business such as the sales of investments, royalties from a patent, etc. These infrequent revenues and expenses are generally included under Non-Operating Section expenses to show they are outside the normal course of the business.

Summary

An accounting system is an organized categorization system consisting of a chart of accounts and transactions against those accounts. The greater the level of detailed categories, the more precise reporting can be performed (however, a greater level of detailed categories also requires more effort to record the transactions). In this chapter, we showed some general, commonly used account classifications. Systems can be much more complex and simple depending on the size of the business and the management structure.